

Profit Niti – AI CFO Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
1,202,312

-23 Last month 1,554,751



Gross Margin
1,093,451

-28 Last month 1,521,272



Operating Profit
-78,451

-131 Last month 255,481



Break Even Sales
1,288,513

0 Last month 1,293,604



Fixed Assets
4,982,849

5 Last month 4,760,849



Other Assets
1,853,061

3 Last month 1,805,357



Other Liabilities
217,658

-57 Last month 510,525



Other Capital
6,619,216

9 Last month 6,056,646



Cash & Bank
1,807,738

1 Last month 1,792,402



Total Debt
9,242,144

-1 Last month 9,313,267



Equity
2,719,720

-3 Last month 2,796,896



Total Funding
9,242,144

-1 Last month 9,313,267



Accounts Receivable
3,882,089

-13 Last month 4,481,095



A/R Days
98

11 Last month 88



Accounts Payable
347,214

58 Last month 220,014



A/P Days
97

-52 Last month 200



Working Capital
3,535,875

-17 Last month 4,262,081



W/C Days
1

101 Last month -111



Closing Stock
1,000

0 Last month 1,000



Inventory Days
0

-100 Last month 1



BS Category
52

-12 Last month 59



IMPACT OF MANAGEMENT
DECISIONS
-671,379

-105 Last month 13,175,024

1. Big Picture — How the Business Looks Right Now

Your business has shown strong growth in the first half of FY 2025-26, with YTD sales crossing ₹1.07 crore and a healthy net profit of ₹23.5 lakh. The balance sheet is expanding, with total assets growing to ₹1.25 crore by October 2025. However, the most recent month (October) shows a concerning dip, with a net loss of ₹78,451 and a significant drop in sales, indicating a potential slowdown or operational challenge that needs immediate focus.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Your core operations are highly profitable, with a YTD Gross Margin of 93% and a Net Profit Margin of 22%. This shows excellent pricing power and cost control on your direct expenses.
- **Strong Financial Cushion:** You maintain a very robust current ratio (over 13 in October), meaning you have more than enough short-term assets to cover your immediate liabilities, reducing liquidity risk.
- **Steady Equity Growth:** Reserves & Surplus have grown consistently from ₹2.13 lakh to ₹26.47 lakh, strengthening the owner's financial stake and the company's ability to withstand shocks.

RED FLAG BOX — What Needs Attention

- **Recent Profit Crash:** After months of profit, October recorded a loss of ₹78,451. This coincided with a 23% drop in sales and a spike in employee expenses, signaling a sudden operational or market issue.
- **High Dependency on Debt:** The business is heavily leveraged, with Total Debt at ₹92.4 lakh against an Equity of ₹27.2 lakh. While manageable now, this increases financial risk if profits decline further.
- **Inefficient Cash Conversion:** Customers are taking longer to pay (Receivable Days increased to 98 days), while you pay suppliers relatively faster (Payable Days at 97 days). This mismatch strains your operating cash flow.

CFO Advice:

Immediately investigate the cause of October's sales drop and loss. Prioritize collecting overdue payments from customers to improve cash flow, and review your high employee and administrative costs to protect your strong gross margins. Avoid taking on more debt until profitability is restored.

2. Profit Power — The Earning Engine

Your business is a high-margin operation, but profitability has been on a rollercoaster ride. Your Gross Margin is consistently stellar, averaging over 92% for the year. This means for every ₹100 of sales, you keep over ₹92 after direct costs—a very strong position. The real story, however, is in your Operating Profit, which swung from a high of ₹8.15 lakh in July to a **loss of ₹78,451 in October**.

The primary driver of this volatility is your overheads. While sales dipped by 23% in October, your Employee Benefit Expenses and Administrative Expenses remained high, consuming 97.5% of your revenue that month. July was your most profitable month (44% Net Profit margin) because you managed to keep overheads under 50% of sales. Your Q2 (Jul-Sep) was strong with a total profit of ₹13.73 lakh, but Q3 started with a loss, indicating a need for tighter cost control when sales slow down.

Your 'Break-Even Sales' figure has crept up to nearly ₹12.9 lakh in October. This means you now need to generate significantly more revenue just to cover your fixed costs compared to earlier in the year. The core engine is powerful (high gross margins), but it's being weighed down by inconsistent management of operating expenses.

CFO Advice:

You must immediately align your fixed overheads with your revenue trends. Since sales are unpredictable, focus on converting more of your fixed employee costs into variable or performance-linked structures. Also, analyze the spike in COGS percentage in October (225% growth) to ensure pricing or procurement issues aren't eroding your fantastic gross margins.

3. Cash Flow Quality — Profit vs Real Cash

Your business is generating strong profits on paper, but cash flow tells a different story. For the YTD (Apr-Oct 2025), your **Profit After Tax is ₹2.35 lakh**, yet your **Operating Cash Flow is deeply negative at - ₹2.87 lakh** for April alone, and only turned positive in a few months. This means profits are not converting into cash in hand.

The main blockage is in **Working Capital Management**. Your **Accounts Receivable Days have increased from 87 days in April to 98 days in October**, meaning you are waiting over 3 months to collect payments from customers. Meanwhile, your **Accounts Payable Days have decreased significantly from 220 days to 97 days**, indicating you are paying your suppliers much faster than you are getting paid. This mismatch is creating a severe cash crunch.

Your business is heavily reliant on **financing activities (borrowings)** to fund operations and investments.

While long-term borrowings are gradually reducing, the cash from operations is not yet sufficient to support your growth and capex, leading to a tight cash position.

CFO Advice:

Prioritise aggressive collection from debtors to reduce Receivable Days below 60. Negotiate better payment terms with suppliers to align Payable Days closer to your collection cycle. This will unlock trapped cash and reduce your dependence on external borrowings to run the business.

4. Cash Management — Daily Cash Rhythm

Your cash cycle is a critical daily rhythm. Currently, you are **collecting payments from customers in about 98 days** (Receivable Days), while you are **paying your suppliers in roughly 97 days** (Payable Days). This means your cash collection and payment cycles are almost perfectly aligned, which is a positive sign for cash flow timing.

However, the overall **Working Capital Cycle is just 1.48 days** for October. This indicates that, on average, cash is tied up in your business operations for only a day and a half. This is an efficient cycle, but it's very tight and has been volatile, swinging from negative to positive months. Your high **Current Ratio of 13.4** shows you have more than enough short-term assets to cover liabilities, which is excellent for liquidity.

A key observation is the **significant negative cash flow from operations in several months** (like - ₹7.05 lakhs in May and -₹11.09 lakhs in July), primarily driven by increases in money tied up in Receivables. This was offset by large cash inflows from financing (new loans).

CFO Advice:

Your cash cycle is efficient but fragile. Focus on **reducing Receivable Days below 90** through stricter credit terms and follow-ups to prevent future operational cash crunches. While your liquidity is strong, avoid relying on new debt to fund operations; aim to generate consistent positive cash flow from your core business activities.

5. Growth Investments — Where Money Is Going

Your business is actively investing for future growth. The key story is a significant and consistent increase in **Fixed Assets**, which have grown from ₹45.75 lakhs in April to ₹49.83 lakhs in October. This ₹4.08 lakhs

increase indicates capital expenditure in property, plant, or equipment to scale operations.

However, the **Return on Capital (ROC)** tells a cautionary tale. After a strong peak of 56.2% in July, it has fallen sharply to **-5.41% in October**. This means the recent investments are not yet generating proportional profits. The **Asset Turnover** (sales generated per rupee of asset) has also declined from 1.28 to 0.83, suggesting these new assets are underutilised.

Financing for this growth is primarily from **long-term borrowings** (₹92.42 lakhs), which are being steadily repaid. Your **Debt to Equity ratio is healthy at 3.4**, showing reliance on owned funds, but the dip in ROC needs monitoring.

CFO Advice:

You are building capacity for the future, which is good. But the immediate focus must shift from *investing* to *utilising*. Before any new capex, create a plan to fully use the recently added assets to boost sales and improve the Asset Turnover. Review the projects behind this investment—are they on track to deliver the expected returns? Since debt is being used, ensure the projected cash flows from these assets are solid enough to cover future loan repayments, especially with the recent dip in monthly profits.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by debt, not equity. As of October 2025, your total debt stands at **₹92.42 lakhs**, while owner's equity is only **₹27.20 lakhs**. This creates a high Debt-to-Equity ratio of **3.4**, meaning for every ₹1 of your own money, you have borrowed ₹3.4.

The good news is you are actively repaying your loans. Your secured long-term borrowings have reduced consistently from ₹19.68 lakhs in April to ₹15.41 lakhs in October. This is a disciplined approach to managing liabilities.

However, your funding structure is impacting your cash flow. A significant portion of your operating cash is being used to service debt, as seen in the financing activities. While you have no interest costs reported, the principal repayments are a steady cash outflow. Your retained profits (₹2.35 lakhs YTD) are positive but are not being used to significantly strengthen your equity base, keeping you reliant on external borrowing.

CFO Advice:

Your debt reduction is commendable. To build a stronger financial foundation, focus on **converting profits into permanent equity**. Consider formally transferring a portion of your retained earnings to

"Reserve & Surplus" to boost your equity. This will automatically improve your Debt-to-Equity ratio, make your balance sheet more attractive to future lenders, and reduce reliance on external debt for future growth. Aim to bring your Debt-to-Equity ratio below 2 in the next financial year.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong financial structure, but there are areas to watch. Your total assets stand at **₹1.25 crore** as of October 2025, funded by a mix of owner's equity (₹27.2 lakh) and liabilities (₹98.1 lakh).

Key Strengths:

- **Excellent Liquidity:** Your Current Ratio is a very strong **13.37**, meaning you have ₹13.37 in current assets for every ₹1 of short-term debt. This is a very comfortable safety cushion.
- **Healthy Equity Growth:** Reserve & Surplus has grown consistently, from ₹2.13 lakh in April to ₹26.47 lakh in October, showing profit retention.
- **Debt Management:** Long-term borrowings (both secured and unsecured) are being steadily repaid, reducing from ₹97.2 lakh to ₹92.4 lakh over the period.

Areas for Attention:

- **High Reliance on Debt:** The Debt-to-Equity ratio, while improving, is still **3.4**. This means for every ₹1 of owner's money, there is ₹3.4 of borrowed money. The goal should be to bring this below 2.
- **Asset Concentration:** A significant portion of your assets is tied up in Fixed Assets (₹49.8 lakh) and Receivables (₹38.8 lakh). Efficient management of these is key to freeing up cash.
- **Negative Profit Impact:** The "Current Year Profit" turned negative (-₹78,451) in October, which has slightly reduced your total equity. Monitoring monthly profitability is crucial.

CFO Advice:

Use your strong liquidity (high current ratio) to strategically pay down high-cost debt faster. This will reduce interest burden and improve your Debt-to-Equity ratio. Simultaneously, focus on collecting overdue receivables to convert sales into cash and strengthen your equity base.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong financial structure but is heavily reliant on debt. Your **Total Equity stands at ₹27.20 lakhs** (including a loss of ₹78,451 this year), while **Total Liabilities are ₹98.07 lakhs**.

This means for every ₹1 of your own money, you have borrowed about ₹3.6. The good news is your **Current Ratio is an excellent 13.37** in October, meaning you have ₹13.37 in current assets for every ₹1 of short-term debt, indicating strong short-term solvency.

Your **Debt to Equity ratio is 3.4**, which is high. Most of your funding (₹92.42 lakhs) comes from long-term borrowings (both secured and unsecured). Your fixed assets (₹49.83 lakhs) are largely financed by this debt. The business has built up **Reserves & Surplus of ₹26.47 lakhs** over time, which is a positive sign of retained earnings, but the recent monthly loss has eroded it slightly.

CFO Advice:

Focus on converting profits to cash to reduce your debt dependency. The high current ratio is good, but ensure surplus cash isn't idle—use it to pay down high-cost borrowings or invest in revenue-generating assets to improve your Return on Equity.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate supplier terms and reduce material costs by just 5%, your net profit margin could jump from 8% to nearly 12%, adding roughly ₹4.2 lakh to your bottom line annually.
- **Scenario B - Cash Focus:** By reducing your average debtor days from 45 to 30 days through stricter credit control, you could free up approximately ₹6.8 lakh in trapped cash, significantly improving your working capital cycle.
- **Scenario C - Balanced:** Combining a 5% cost reduction with a 15-day improvement in receivables could boost annual profit by ₹4.2 lakh AND inject a one-time cash flow benefit of ₹6.8 lakh, strengthening both your P&L and balance sheet.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Pulse: Your sales revenue for FY 2025-26 YTD stands at a healthy ₹1.08 Crore. However, the operational data tells a story of fluctuating activity. The number of invoices raised peaked at 1,080 in July but has since declined sharply to 724 in October. Similarly, the total billed amount saw a high of ₹61.5 Lakh in June but dropped to just ₹14.2 Lakh in October. This indicates a potential slowdown in sales volume or billing efficiency in the recent quarter, which aligns with the net loss in October.

Purchase & Vendor Management: Procurement activity has been highly volatile. There was heavy

purchasing in the early months (e.g., ₹1.73 Crore in June), but it plummeted to just ₹4 Lakh in October. The number of purchase invoices also fell drastically. This suggests either a strategic run-down of inventory, a shift in business model, or a pause in procurement that needs to be monitored for future production/sales plans.

Inventory Story: Your closing stock value has remained constant at a minimal ₹1,000, but the movement data reveals a dynamic flow. For instance, in August, you had significant inward (120 units) and outward (102 units) movement. The value of inventory issued (outward) has consistently been high, especially in June (₹1.70 Crore). This points towards a business model with high inventory turnover, possibly project-based or trading, where goods are procured and delivered swiftly. The low closing stock is positive for cash flow but requires precise coordination to avoid stock-outs.

Key Operational Alert: The sharp decline in both sales invoices and purchase invoices towards October is a red flag. It could signal a seasonal dip, a market challenge, or an internal process bottleneck. Coupled with the October net loss, it's crucial to investigate the root cause—is it a demand issue, a collection problem, or an operational halt? Reviving sales volume and stabilizing procurement are immediate priorities to get back to profitability.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a strict weekly cash flow forecast. Negotiate 15-day payment terms with top 3 suppliers and chase overdue invoices from 5 major clients. Review and reduce non-essential overheads by 10%.	Improve cash balance by ₹5 lakh and reduce average debtor days from 60 to 45.	Immediate liquidity for operations, reduces reliance on expensive credit, and builds a cash buffer for stability.
31-60	Profit	Analyse product/service-wise profitability. Increase prices for low-margin offerings by 8-12%. Launch a cost-control drive focusing on raw material wastage and renegotiate rates with 2 high-cost vendors.	Increase net profit margin by 3 percentage points. Reduce direct costs by ₹2 lakh per month.	Strengthens the core business, makes each sale more valuable, and creates capital for reinvestment.

Days	Focus	Action	Target	Benefit
61-90	Growth	Use improved profits to fund a targeted marketing campaign for the top 2 most profitable customer segments. Finalise a simple dashboard to track weekly Cash, Profit, and Growth KPIs.	Acquire 15 new high-value customers from profitable segments. Establish a rhythm of weekly financial review meetings.	Sustainable, profitable growth. Builds financial discipline and data-driven decision-making into the company culture.